LEARNING CENTRE

TIME IS MONEY

The value of money today is worth more than in the future because there is an opportunity cost to waiting for it

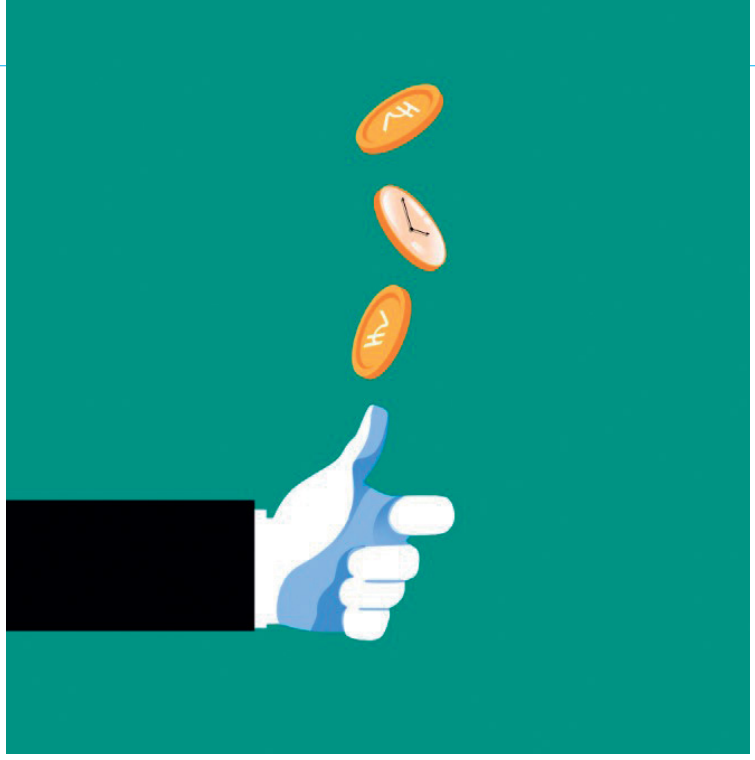


Illustration by SIDDHANT JUMDE

Suppose you are given the choice to take Rs 10,000 today or Rs 11,000 after a year? Most people would take Rs 10,000 right away because who knows if there will be money to be taken a year later. Now a financially savvy individual is likely to do the basic math that for Rs 10,000 of today to become Rs 11,000 a year later means that the money has to grow at 10 per cent for a year. Based on this new information, one may opt for the second option if 10 per cent gain is a good deal, and if not, stick to taking Rs 10,000 today and use it the way they feel best.

To understand time value of money (TVM), it is important to know the concept of inflation, which silently erodes the value of your money. Basically, inflation is the economic indicator that describes the tendency of prices to rise, which means that the worth of the rupee today diminishes in value over time. While theoretically, there is a possibility of the value of money going up during a period of deflation, that is something one rarely experiences. So, the chances are that the future value of money is likely to be lower than what it is worth today, unless it beats inflation.

The other factor on which TVM rides is the opportunity cost—a bird in hand is worth two in the bush. The money you have in hand today could be used to invest in other avenues to achieve a higher return, which is the opportunity cost of the money. When making financial decisions, it is important to factor in concepts around TVM so that you know your money's worth. Of course, for opportunity cost to work in your favour, you need to put the money to work such that it earns you a higher return than inflation to hold on to the value of money at a later date.

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IN PRACTICE

TVM comes in handy when making financial decisions—taking a loan, loan repayments, annuity products that pay out money spanning several years or regular investments. For instance, in case of investment options, the ones that return your money soon are better than the ones that defer payments till maturity many years in the future. Assume you have the option to invest Rs 10,000 in two investment schemes—one in which you get Rs 3,000 a year for the first four years and the other in which you receive Rs 12,000 at the end of the fourth year.

You receive Rs 12,000, which is Rs 2,000 more, in both the investment schemes, yet the first offers you a better return as it hands over the money to you earlier. TVM allows you to make the decision to opt for the first scheme in this case. An example of such a product is a pension scheme that pays you a fixed sum in regular periodicity versus another scheme where you get the payment in lump-sum. When you know the growth rate, number of years the money is being invested for and the current value of the money or periodic investments, you can find out the future value. The reverse is also possible.

There are online calculators that can help you find out TVM outcomes to make informed investment, spending as well as savings decisions. Use these tools to have the upper hand when it comes to your money and get the most out of it. ■

–Narayan Krishnamurthy

Next time: Setting financial goals